

as assets remain), but a portfolio that can be depleted, reducing spending to zero.

In reality, neither end of the spectrum is an ideal place for most retirees. The other strategies we will discuss seek a compromise between these two extremes by including a mechanism to smooth spending adjustments made in response to market volatility. Many strategies seek to obtain some advantages of the fixed-percentage rule, while also reducing the frequency and size of spending adjustments and placing bounds on how far spending can increase or decrease.

Endowment Formulas for Retirement Spending

Endowment policy—a general term referring to the spending decisions facing endowment funds, foundations, family offices, and other related institutions—has confronted questions about sustainable spending for many years. Endowment funds have shifted to the probability-based methods discussed here since the 1970s, as previous ideas about only spending interest from a fixed-income portfolio were slowly abandoned for not providing enough income and inflation protection.

Endowment spending policy is an active area of research, with the latest policies of different university endowments often guiding the way for others. It is interesting that research on endowment spending policies has evolved separately from research on spending policies for retirees. Each area developed its own tools for balancing the trade-off between the desire to keep spending growth consistent with inflation and the fact that poor market returns might eventually trigger a need to reduce spending. The balance to strike is how and when to reduce spending to avoid creating too much spending volatility and uncertainty, while simultaneously maintaining future potential spending and avoiding even bigger subsequent cuts. Retirees can easily apply endowment spending rules to their own personal situations. Generally, endowment spending rules can be classified into two categories: hybrid rules and moving average rules.

First, hybrid rules provide a way to combine the constant amount and fixed-percentage strategies. A simple example is illustrated in Exhibit 6.7. In this case, annual spending is determined as the average of constant inflation-adjusted spending based on the initial balance at retirement, and a percentage